The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · For middle and senior shipyard management

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This week: the Navy signs its first-ever Vessel Construction Manager contract, the May 2026 shipbuilding plan lands with real money for yards, Korea's repair bench deepens from one yard to three, and the Indo-Pacific repair network gets a general contractor solicitation. Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners. Labels: FACT is attributed to the named source in the same sentence; Assessment is this desk's read; Speculation is flagged.

front and back of two sheets.

WATERFRONT OPS & PRODUCTION

LSM steel: Bollinger and Marinette get the program moving

FACT: USNI News reported on February 18, 2026 that the Navy named Bollinger Shipyards and Fincantieri Marinette Marine to build the first McClung-class Landing Ship Mediums, with Bollinger holding the September 2025 long-lead and lead-ship engineering award and Marinette building four ships; the design is a build-to-print derivative of Damen's LST-100, already in service elsewhere. FACT: Fincantieri announced on April 15, 2026 a $30 million materials and production-readiness award for the first four LSMs, enabling construction start as early as the fourth quarter of 2026; the company says it has put more than $800 million into its US yards over the past decade. FACT: per USNI News, Marinette keeps the first two Constellation-class frigates but lost the next four to the class's cancellation, and LSM work backfills that hole. Assessment: a proven design dropped onto a hot production line that just lost its program of record is the fastest route to steel the amphibious force has had in years; the ships' mission, moving Marine Littoral Regiments between Pacific islands, makes this the most INDOPACOM-relevant hull in the yard plan.

> **Bottom line:** Watch for first cut of steel around Q4 2026; the LSM line is now the bellwether for whether build-to-print discipline survives contact with a US yard.

Sources: USNI News, Feb 18, 2026; Fincantieri via Naval News, Apr 15, 2026

Small yards, unmanned hulls: HII spreads Romulus production

FACT: The Maritime Executive reports (undated page; internal references put it mid-2026) that HII has contracted a second Louisiana workboat yard, Halimar Shipyard of Morgan City, to expand production of its Romulus 151 unmanned surface vessel, one of seven designs the Navy approved in May for the medium USV prototype evaluation phase; the design deliberately uses commercial-standard hull construction so small yards can reproduce it, and HII's first partner, Breaux Brothers, got a dedicated Romulus assembly line. FACT: per the same report, designs that pass the Navy's underway test get $15 million and follow-on production approval, against competitors including Leidos, Saronic, PacMar, Birdon, and Chouest's Galliano yard. FACT: HII executive vice president Andy Green is quoted: "Romulus is engineered from the outset for scale." Assessment: this is the shipbuilding plan's distributed-production thesis running ahead of the paperwork: commercial workboat yards becoming Navy capacity through designs sized to their skills.

> **Bottom line:** USV production is becoming the on-ramp for small commercial yards into Navy work; if you run one, the entry standard is commercial-grade aluminum, not MIL-SPEC steel.

Sources: The Maritime Executive

250,000 workers: the hiring target grows 150 percent

FACT: Naval News reported on January 14, 2026, from a NAVSEA Maritime Industrial Base panel and Navy Secretary John Phelan's Surface Navy Association remarks, that the Navy now says it needs 250,000 new dockyard workers over the next ten years, up 150 percent from the 2023 estimate of 100,000, and that about a quarter of current shipbuilding personnel are retirement-eligible within five years. FACT: as dated context from the April 2025 Senate seapower hearing, the buildsubmarines.com campaign had drawn 2.7 million applications, shipbuilder hiring rose 41 percent from 2022 to 2023, and the maritime industrial base program manager, Matthew Sermon, testified the yards have "the least experienced supervisors" in their history, telling the panel: "We are planting trees, not growing house plants." Assessment: the binding constraint has shifted from recruiting to absorption; the yards that win the next decade are the ones that can turn green labor into journeymen without stalling throughput, which is a supervision and training-pipeline problem, not a marketing one.

> **Bottom line:** Size your supervision and qualification pipelines for the 250,000 number now; requisitions are the easy half of a 150-percent-larger target.

Sources: Naval News, Jan 14, 2026; SASC seapower hearing record, Apr 2025

MAINTENANCE ENGINEERING & TECHNOLOGIES

Additive manufacturing went to sea in 2025; 2026 is about the pipeline

FACT: NAVSEA's year-in-review states that in 2025 HII installed the first additively manufactured metal valve manifold aboard a nuclear-powered aircraft carrier (a 1.5-meter, 450-kilogram assembly), the Virginia-class program installed a metal printed component, and the AUKUS partners completed a shipboard installation of a metal 3D-printed part. FACT: the same NAVSEA review credits Marotta with cutting a 29-week destroyer valve lead time by 70 percent, a Southeast Regional Maintenance Center polymer part with over $300,000 in cost avoidance, and Forward Deployed Regional Maintenance Center Rota with cutting some repair times by 80 percent; NAVSEA also reports a collaboration with academia cut additive testing requirements by more than 60 percent, with three material specifications released (MIL-PRF-32802, -32803, -32804).

Additive manufacturing, by the numbers

Each figure as reported in NAVSEA's own 2025-2026 publications; not independently audited.

~140	parts tracked print-to-approval in the Navy's N-RAM production tracker
70%	cut in a 29-week destroyer-valve lead time via metal AM (Marotta, per NAVSEA)
80%	faster repairs reported at FDRMC Rota using additive manufacturing
60%+	reduction in AM testing requirements; three MIL-PRF material specs released

Diagram: the additive pipeline in four reported figures (NAVSEA publications; not independently audited).

FACT: the connective tissue behind those parts is N-RAM (Navy Resources for Additive Manufacturing), NAVSEA's hub for additive specs, standards, and policy, whose production tracker follows roughly 140 candidate parts from requirement through print and approval per NAVSEA deputy director Jay Ong (the hub article itself is undated). FACT: at the April 2025 Senate hearing, the Navy testified its Danville additive center had printed more than 270 parts, saving over 900 days of delay, including a submarine part scanned, printed, and installed in about nine weeks against a 24-month supply-system wait. Assessment: the strategic change is not any single part, it is that parts now move through an approval system with specs, a tracker, and a supply-system endpoint; every number here is the program's own scorecard, not independently audited.

> **Bottom line:** Stop evaluating AM part by part; the 2026 management question is whether your shop's candidates are in the approval pipeline at all, so check N-RAM's tracker before starting any local effort.

Sources: NAVSEA 2025 3D-printing review; NAVSEA on N-RAM; SASC hearing record, Apr 2025

Discovery Team: 90,000 man-days sitting on the table

FACT: NAVSEA's spring 2026 update on its Discovery Team, the "front door" linking the four public shipyards to headquarters engineering, says the team identified 90,000 man-days of potential savings across the yards in its first year and has taken in more than 250 improvement ideas, working three lanes: challenging overly stringent technical requirements, inserting new methods, and securing funding. Assessment: the most valuable lane is the first one. Requirements relief is the cheapest capacity there is, and a formal channel for a deckplate planner to challenge a spec, with headquarters obligated to answer, is a genuine culture mechanism, not a suggestion box. The 90,000 man-day figure is the program's own estimate of *potential* savings, not audited realized savings.

> **Bottom line:** If your yard has a standing irritant requirement, the Discovery Team channel now exists precisely for it; the queue rewards specific, costed submissions.

Sources: NAVSEA Discovery Team update, spring 2026

Research radar: ending the switchboard open-door inspection

(Freshness exception, stated plainly: the anchor briefing is 17 months old. It stays because it describes an NSRP project, RA 2025-04, that is active now, with its in-service installation phase ahead and its parent Electrical Technologies Panel meeting August 18-19.) FACT: the NSRP-published briefing by RSL Fiber Systems (February 2025 All Panels Meeting, with NAVSEA 05Z33, NSWC Philadelphia, Austal USA, and others) argues shipboard electrical inspections are a condition-monitoring gap: it cites roughly $3 million per year in surface-fleet open-door switchboard inspection labor, an average of eight arc faults per year across fleet switchboards, and $6 billion in electrical-fire costs over twelve years. FACT: the briefing's proposed fix is fiber-optic distributed temperature sensing, the whole fiber acting as the sensor with 0.1-degree-Celsius rise detection, piloted on a DDG 51 land-based facility in Philadelphia with an in-service installation targeted next. Assessment: the interrogator technology is mature in data centers and fire detection; the shipboard question is installation and maintenance economics, which is exactly what the pilot should answer.

> **Bottom line:** Watch the DTS pilot; if the DDG 51 installation holds up, periodic open-door switchboard inspections become the next maintenance requirement worth challenging through the Discovery Team.

Sources: NSRP RA 2025-04 briefing (PDF)

OPERATIONS MAINTENANCE & READINESS

Fire safety: GAO says the contract has no teeth

FACT: GAO's December 2025 report on fire prevention during ship maintenance (GAO-26-107716) counts 13 fires on ships in maintenance since 2008, notes the 2020 Bonhomme Richard arson fire caused over $3 billion in damage and early decommissioning, and finds the Navy's contract oversight tools largely toothless: Corrective Action Requests carry no monetary penalties, none of the six reviewed ships' quality assurance plans assessed any penalty for safety noncompliance, and the ship-repair contractor liability limit has not been adjusted since 2003. FACT: GAO made six recommendations (including monetary-penalty options and reassessing the liability clause); the Navy concurred with all six, with target completion January 2027. FACT: GAO's earlier 2023 fire report (GAO-23-105481) put maintenance-fire damages at more than $4 billion from 2008 to 2022; its training-goals recommendation remained open as of May 2025. Assessment: no major fire since 2020 is real progress, and GAO credits the post-fire culture push, but the report's core point stands: the deterrent structure is cultural, not contractual, and culture is what erodes first under schedule pressure.

> **Bottom line:** Between now and January 2027, expect penalty language and liability terms to start appearing in availability contracts; contractors and RMC staff should plan for QASP enforcement with actual consequences.

Sources: GAO-26-107716; GAO-23-105481

Korea's repair bench deepens from one yard to three

FACT: Naval News reported on December 17, 2025 that HJ Shipbuilding & Construction signed its first US Navy MRO contract, a mid-term availability for the 40,000-ton dry cargo and ammunition ship USNS Amelia Earhart at its Yeongdo yard in Busan, with work running January to March 2026 under the US-Korea MASGA initiative and DoD's Regional Sustainment Framework. FACT: The Maritime Executive reports (undated page; the sale it describes closed June 26, 2026) that Korea's Gunsan Shipyard will build ships again after nine years as the new J Ocean Heavy Industries, with HJ as partial owner, a 700-meter dock designed for 10 to 12 ships a year, and a letter of intent for four tankers; the report notes HJ is certified for US Navy auxiliary repair work and expects more contract tenders in coming months. FACT: Hanwha Ocean, which hosted the Chief of Naval Operations at Geoje in November 2025 with USNS Charles Drew alongside as its third US Navy MRO vessel, has stated it intends to expand toward combatant maintenance. Assessment: a year ago "Korean MRO" meant Hanwha; it now means at least three yards with US Navy work, certifications, or stated ambitions, plus restarting capacity. That is an ecosystem, not an experiment, and combatant-level work remains the policy line to watch.

> **Bottom line:** Model Korean capacity as multiple yards with different lanes (auxiliaries now, combatants pending policy), not as a single-yard bet.

Sources: Naval News, Dec 17, 2025; The Maritime Executive; Naval News, Nov 2025

A general contractor for Indo-Pacific repair

FACT: USNI News reported on October 6, 2025 that the Navy is seeking a US shipbuilder to establish a Singapore-based lead maintenance activity by 2027 to run Indo-Pacific repair through partnerships with regional yards, with notional annual capacity of six continuous or restricted availabilities, two mid-term availabilities, and two regular overhauls, staged from Changi Naval Base and Sembawang but potentially extending to Malaysia, Vietnam, Indonesia, the Philippines, Australia, Thailand, Guam, Japan, and South Korea. FACT: per the same report, the contractor must hold a master ship repair agreement and in-theater teaming agreements with certified yards, on a two-year base plus three option years spanning 2027 to 2031; India's Mazagon Dock and Larsen & Toubro were certified in 2023. FACT: a NAVSUP industry-day slide quoted in the piece: "This requirement includes planning and executing repairs on several vessel classes simultaneously using in-theater / foreign labor." Assessment: this solicitation is the connective tissue for everything else in this section: it turns a set of bilateral yard certifications into a managed theater repair network with one accountable US prime.

> **Bottom line:** For US repair firms, the Singapore lead-maintenance-activity award is the biggest INDOPACOM sustainment opening of the decade, and in-theater teaming agreements are the entry ticket.

Sources: USNI News, Oct 6, 2025

BUSINESS PRACTICES & STRATEGY

First of its kind: TOTE takes the LSM program as Vessel Construction Manager

FACT: USNI News reported on July 13, 2026 that the Navy issued TOTE Services a $2.2 billion contract, up to $2.6 billion with options, to serve as Vessel Construction Manager for the Landing Ship Medium program covering as many as eight ships: TOTE holds the prime contract and will issue and manage its own subcontracts directly with Bollinger and Fincantieri Marinette Marine, with flexibility to set the award strategy for the remaining hulls. FACT: per USNI News this is the Navy's first-ever VCM contract, a structure common in commercial shipbuilding, and TOTE already served as construction manager for MARAD's training ships at what is now Hanwha Philly Shipyard; the Navy's release says the arrangement, with a proven design, creates "a buffer that… is expected to reduce cost and schedule risks." FACT: the May 2026 shipbuilding plan formally adopts the VCM model beyond LSM, naming the next-generation light logistics ship and new-build roll-on/roll-off sealift as follow-on candidates. Assessment: the Navy is testing whether it can act as design authority and customer while a commercial manager runs the yards. The unresolved tension is oversight at the deckplate: Navy technical authority meets a prime it does not directly manage, and how quality assurance works across that seam is the detail worth watching hardest.

> **Bottom line:** Learn the VCM interfaces now: if the LSM experiment holds cost and schedule, this structure spreads to auxiliaries next, and your next Navy contract may run through a commercial construction manager rather than NAVSEA.

Sources: USNI News, Jul 13, 2026; US Navy Shipbuilding Plan, May 2026 (PDF)

The May 2026 shipbuilding plan, decoded for the waterfront

FACT: the Navy's May 2026 shipbuilding plan puts the battle force at 291 ships against the 355-ship statutory requirement, reaches 355 manned ships by FY40, and counts a "Total Naval Vessel Force" of 450 by FY31 by adding auxiliaries and unmanned vessels; it requests 34 manned ships and 5 unmanned platforms in FY27 with \$65.8 billion in new construction, and \$305.7 billion across the five-year plan, including three of a new nuclear-powered BBG(X) battleship class at \$43.5 billion and 23 LSMs. FACT: for yards specifically, the plan seeks a \$19.3 billion "generational increase" in industrial-base funding over the prior budget (on top of more than \$20 billion appropriated since FY18), carries \$13.7 billion for SIOP across the plan period, sets a goal of moving from about 10 percent to 50 percent of work at distributed sites, proposes FY27 authority to build up to two auxiliaries overseas and fabricate non-sensitive modules in allied yards, and shifts maintenance doctrine toward a "continuum" of smaller, more frequent availabilities with an explicit right-to-repair push against proprietary lock-in. FACT: the plan itself says: "Every day a ship sits in dry dock beyond plan is a day we lend initiative to an adversary." Assessment: for a working manager the fleet-count headlines matter less than three lines: SIOP money holding, the distributed-work target (which moves scope toward smaller yards and suppliers), and the maintenance continuum, which would change availability tempo and planning rhythm more than any budget number. Speculation: GAO's standing critique, a doubled budget with no fleet growth, will be the lens Congress reads this plan through; expect the 450-by-FY31 counting method to draw fire.

> **Bottom line:** Read the plan's maintenance-continuum and distributed-work sections first; they change the shape of your workload sooner than the fleet numbers do.

Sources: US Navy Shipbuilding Plan, May 2026 (PDF)

GAO to Congress: strategy before steel

FACT: GAO's April 2026 testimony (GAO-26-109068) says Navy and Coast Guard shipbuilding programs are collectively billions over cost and years behind schedule across two decades, notes the Navy's 2025 strategic shift away from the Constellation-class frigate after exercising more than \$3 billion in contract options, and reports DOD cannot say how much more funding the submarine industrial base needs beyond the more than \$10 billion already invested. FACT: GAO added two recommendations (a full cost and schedule assessment of reaching the one-Columbia-plus-two-Virginia yearly goal, and documented oversight of industrial-base investments); DOD agreed, against a backdrop of 92 Navy shipbuilding recommendations since 2016, many unaddressed. Assessment: for the repair enterprise the relevant thread is the submarine industrial base number: sustainment and new construction now compete for the same welders, machinists, and suppliers, and GAO is saying nobody has priced that competition.

> **Bottom line:** When the submarine industrial-base assessment lands, read it as a repair-side document too; it will price the labor pool your availabilities draw from.

Sources: GAO-26-109068

Allies double down: Australia prices its yard future

FACT: Naval News reported in April 2026 that Australia's new National Defence Strategy roughly doubles projected defence spending by FY2035, raises AUKUS submarine investment to A\$71-96 billion, lifts the Collins-class life-extension budget to A\$7.8-11 billion citing worse-than-expected hull corrosion, and commits up to A\$25 billion over a decade to the Henderson Defence Precinct, whose first tranche funds expanded submarine maintenance facilities including a new graving dock. Assessment: for U.S. Pacific sustainment, Henderson is the line to watch. A new allied graving dock with submarine maintenance scope, funded in-year, is capacity that eventually shows up in combined maintenance planning, on the same timeline as SIOP's own dock work.

> **Bottom line:** Put Henderson's graving dock on the same mental map as SIOP dock projects; by the early 2030s Pacific submarine availability planning will count both.

Sources: Naval News, Apr 2026

UPCOMING EVENTS

The events calendar covers the next 90 days, however many rows that is; confirmed events further out wait on the brief's registry and roll in as they approach. FACT: all dates are as published on the named organizers' own event pages (NSRP, ASNE, and Shipbuilders Council of America pages, verified July 15-16, 2026); the two NSRP panel entries whose visible listing text is year-less carry 2026 per those pages' own add-to-calendar data.

Dates	Event	Why it matters
Jul 30, 2026	NSRP Sustainment Panel Project Roundtable, virtual (NSRP)	Regional capacity: active sustainment R&D projects in one 90-minute window, zero travel cost
Aug 18-19, 2026	NSRP Electrical Technologies Panel, Pullman, WA and virtual (NSRP)	Condition monitoring: the panel behind the fiber-optic switchboard-sensing pilot above
Aug 24-25, 2026	NSRP Workforce & Compliance Panel, Pensacola, FL (NSRP)	Workforce pipeline: cross-yard practices while the Navy chases its 250,000-hire target; in-person registration closes Aug 13 per the page
Sep 22-24, 2026	FMMS 2026, Virginia Beach, VA (ASNE)	Maintenance execution: the flagship fleet maintenance and modernization event for exactly this readership; early-bird ends Aug 16 per ASNE
Sep 29 - Oct 2, 2026	SCA Fall Membership Meeting, Washington, DC (Shipbuilders Council of America)	Policy engagement: the surface-repair industrial base's Hill-and-Navy window; members and regional associations only

On the registry beyond the 90-day window, rolling in as they approach: Arctic Operations Symposium (Oct 28-29, 2026, Baltimore); Navy Procurement Outlook Summit (Nov 16-17, 2026, Reston); TSS/CSS Symposium (Dec 7-9, 2026, Arlington); Military Additive Manufacturing Summit (Jan 26-28, 2027, Tampa); NSRP All Panel Meeting (Mar 23-25, 2027); MegaRust (Jun 7-9, 2027, Hampton); Indo Pacific International Maritime Exposition (Nov 2-4, 2027, Sydney). Watchlist, no published dates yet: NSRIC, Ship Repair USA 2027, NDIA Logistics Forum 2027, SNAME Maritime Convention 2026.

The Waterfront Brief is compiled weekly by the B2 vault's research engine from NAVSEA releases, USNI News, Naval News, GAO and congressional records, defense.gov, The Maritime Executive, Drydock Magazine, NSRP, ASNE, SNAME, arXiv, and academic publishers (57 sources staged this week; 13 quarantined as stale), then synthesized and labeled by hand. Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners; out-of-area items only for a direct, stated lesson. Freshness policy: every article's anchor source is under 12 months old; anything older appears only as dated context or a flagged exception. FACT means the named source says it, not that this desk has independently verified it. Corrections welcome; the staged sources are retained for audit.